



Group and Company statements of financial position
as at 30 June 2021

KShs'000	Group			Company	
	30 June 2021	Restated 30 June 2020	31 Dec 2020	30 June 2021	31 Dec 2020
Assets					
Intangible assets	1 409 452	1 418 955	1 419 927	-	-
Properties	1 216 619	1 220 686	1 218 428	-	-
Equipment	176 604	188 409	183 363	-	-
Right-of-use-assets	78 710	86 360	86 928	-	-
Interests in subsidiaries	-	-	-	2 571 541	2 571 541
Deferred taxation	219 176	201 052	219 764	-	-
Deferred acquisition costs	148 210	108 525	117 389	-	-
Reinsurance assets	4 144 664	3 390 360	3 165 004	-	-
Short-term insurance	4 010 794	3 384 484	3 162 100		
Long-term insurance	133 870	5 876	2 904		
Financial investments	23 295 183	22 265 339	23 357 471	-	-
Policy and staff loans receivable	1 682 418	1 749 129	1 712 273	-	-
Prepayments, insurance and other receivables	2 076 460	1 708 528	1 344 148	3 954	16 733
Cash and cash equivalents	6 672 562	5 948 335	5 735 467	8 941	10 319
Current taxation	174 439	88 736	107 817		
Investment property held for sale	633 000	633 250	633 250	-	-
Total assets	41 927 497	39 007 664	39 301 229	2 584 436	2 598 593
Liabilities					
Long-term policyholder liabilities	20 011 948	19 693 722	19 557 712	-	-
Insurance contracts	6 779 819	6 875 801	6 728 593	-	-
Investment contracts with discretionary participation features	3 653 313	4 234 539	3 928 866	-	-
Financial liabilities under investment contracts	9 578 816	8 583 382	8 900 253	-	-
Deferred taxation	1 123 778	857 604	1 117 704	-	-
Short-term insurance liabilities	8 315 387	7 089 318	7 111 631	-	-
Lease liabilities	66 059	88 394	99 501	-	-
Employee benefits	93 091	108 022	170 181	-	-
Intergroup balances with subsidiaries	-	-	-	124 963	44 469
Insurance and other payables	3 356 056	2 721 484	2 539 315	13 695	21 871
Current taxation	-	1 637	-	-	-
Total liabilities	32 966 319	30 560 181	30 596 044	138 658	66 340
Equity					
Ordinary shareholders' equity	8 649 765	8 147 111	8 405 118	2 445 778	2 532 253
Share capital	535 707	535 707	535 707	535 707	535 707
Share premium	1 490 480	1 490 480	1 490 480	1 490 480	1 490 480
Retained surplus	4 434 480	4 134 010	4 255 321	419 591	506 066
Other reserves	2 189 098	1 986 914	2 123 610	-	-
Non-controlling interests	311 413	300 372	300 067		
Total equity	8 961 178	8 447 483	8 705 185	2 445 778	2 532 253
Total equity and liabilities	41 927 497	39 007 664	39 301 229	2 584 436	2 598 593

Summary Consolidated Group statement of changes in equity
for six months ended 30 June 2021

KShs'000	Share capital	Share premium	FCTR ⁽¹⁾	Statutory reserve	Owner-occupied properties	Retained surplus	Non-controlling interests	Total equity
Balance at 1 January 2021	535 707	1 490 480	(166 261)	2 072 438	217 433	4 255 321	300 067	8 705 185
Total comprehensive income			(4 204)			248 851	11 346	255 993
Transfer between reserves				69 692		(69 692)		
Balance at 30 June 2021	535 707	1 490 480	(170 465)	2 142 130	217 433	4 434 480	311 413	8 961 178

¹ Foreign currency translation reserve

Summary consolidated Group statement of cashflows

	30 June 2021 Shs'000	31 Dec 2020 (12 months) Shs'000
Net cashflows generated from operating activities	1 049 326	1 485 595
Cashflows used in investing activities	(51 608)	(166 318)
Cashflows used in financing activities	(29 838)	(30 623)
Net increase in cash and cash equivalents	967 880	1 288 654
Cash and cash equivalents at the beginning of the year	5 735 467	4 419 078
Foreign currency translation	(30 785)	27 735
Cash and cash equivalents at the end of the period	6 672 562	5 735 467

Group and Company statements of comprehensive income
for six months ended 30 June 2021

KShs'000	Group			Company	
	30 June 2021	Restated 30 June 2020	31 Dec 2020 (12 months)	30 June 2021	31 Dec 2020 (12 months)
Revenue					
Insurance premiums	5 444 364	6 012 711	11 176 458	-	-
Reinsurance premiums	(2 214 267)	(2 587 492)	(4 490 596)	-	-
Net insurance premiums	3 230 097	3 425 219	6 685 862	-	-
Revenue from contracts with customers	638 802	643 889	1 110 002	-	-
Investment income	65 320	58 564	131 203	-	185 000
Interest income on financial assets using the effective interest rate method	288 768	231 125	506 922	-	-
Fair value adjustments to assets held at fair value through profit and loss	1 346 969	161 455	1 423 735	-	-
Total income	5 569 956	4 520 252	9 857 724	-	185 000
Claims and policyholder benefits under insurance contracts	(4 060 900)	(3 727 567)	(6 792 094)	-	-
Insurance claims recovered from reinsurers	1 282 078	959 757	1 840 201	-	-
Change in long-term policyholder assets and liabilities	355 295	947 598	1 263 759	-	-
Liabilities under insurance contracts	(51 225)	311 510	330 352	-	-
Investment contracts with discretionary participation features	275 553	655 119	960 792	-	-
Applicable to reinsurers	130 967	(19 031)	(27 385)	-	-
Fair value adjustment to long-term policyholder liabilities under investment contracts	(536 694)	(25 746)	(520 967)	-	-
Acquisition costs	(768 107)	(744 144)	(1 669 611)	-	-
General marketing and administration expenses	(1 411 504)	(1 556 740)	(2 922 819)	(86 475)	(215 869)
Finance costs	(6 416)	(6 572)	(12 296)	-	(205 235)
Profit before taxation	423 708	366 838	1 043 897	(86 475)	(20 235)
Taxation	(158 603)	17 020	(367 951)	-	-
Total earnings	265 105	383 858	675 946	(86 475)	(20 235)
Other comprehensive income	(9 112)	30 734	47 125	-	-
Total comprehensive income	255 993	414 592	723 071	(86 475)	(20 235)
Total earnings attributable to:					
Shareholders' equity	250 114	360 386	659 335	(86 475)	(20 235)
Non-controlling interests	14 991	23 472	16 611		
	265 105	383 858	675 946	(86 475)	(20 235)
Basic earnings per share	Cents	Cents	Cents		
Basic earnings per share	0.47	0.67	1.23		

*Restatements of June 2020 comparatives

Note 36 on page 72 of the Annual financial statements and reports for the year ended 31 December 2020, available on our website at www.libertykenya.co.ke, discloses the basis of the restatements.

Message from the Board of Directors

The directors are pleased to announce the unaudited Group and Company statements of financial position, Group and Company statements of comprehensive income, summary consolidated Group statement of changes in equity, and summary consolidated Group Statements of cash flows for the six-month period ended 30 June 2021.

The global economic environment continued to recover in the first half of 2021. This has positively impacted global and Kenyan financial market conditions and contributed positively to corporate earnings.

The group assessed the likely impact of the pandemic and the restrictions implemented to contain the spread of the virus on the business early in 2020 and set up reserves to cater for COVID-19 related exposures and the cost of guarantees due to an expected adverse market impact. Further review was conducted in the reporting period to ascertain adequacy. The updated provision of Kshs 72M is based on assumptions of the future experience as informed by the country and entity specific COVID-19 experience and the vaccination rollout outlook in Kenya.

In terms of capital adequacy, our businesses are well capitalised and above both the regulatory requirements and the group's minimum target.

Outlook

The group has adopted new ways of working (nWOW). This has been the backbone from which most of our collaboration, team and customer- centered initiatives have arisen. It has better allowed us to live our strategic intent of being oriented around the client and has improved the quality and speed of our execution. It has also allowed us to access and use the capacity of all our talent. This change in how we work, which is intended to make our businesses more agile and responsive to client needs, will continue to be an area of significant focus, investment and learning for all of us in 2021 and beyond.

P Odera
Chairman

M du Toit
Managing Director

R Shah
Director

C Kioni
Company Secretary